Capital expenditure	Revenue expenditure
Purchase of sports equipment Purchase of books for library	Honorarium Charity Audit fees Purchase of sports materials Printing and stationery Postage and courier charges Expenses relating to a) Tournament, b) Sports, c) Matches, d) Entertainments, e) Dinner

2.5 Income and Expenditure Account

Income and expenditure account is a summary of income and expenditure of a not–for–profit organisation prepared at the end of an accounting year. It is prepared to find out the surplus or deficit pertaining to a particular year.

It is a nominal account in nature in which items of revenue receipts and revenue expenditure, relating to the current year alone are recorded. It is prepared following the accrual basis of accounting.

It is just like preparing a profit and loss account. In this account, incomes are shown on the credit side and expenses are shown on the debit side. Apart from cash items, non-cash items such as income accrued but not received, loss or gain on sale of fixed assets, depreciation, etc. will also be recorded.

It helps to enable the members to know the working of the organisation and to know whether its income is sufficient to meet its expenses. It can be prepared from a given receipts and payments account.

2.5.1 Steps in preparation of income and expenditure account from receipts and payments account

Following are the steps to be followed in preparing income and expenditure account from receipts and payments account:

(i) Opening and closing balances of cash and bank accounts in receipts and payments account must be excluded.

(ii) Capital receipts and capital expenditures must be excluded.

(iii) Only revenue receipts pertaining to the current year should be taken to the credit side of income and expenditure account. Due adjustments should be made for income received in advance, income accrued for the current year and for the amount relating to the previous year or years.

(iv) Similarly, revenue expenditure relating to the current year only must be taken in the debit side of income and expenditure account. Adjustments must be made for outstanding expenses of the previous year and current year and for the prepaid expenses of the previous year and current year.

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